Coca-Cola

Model Update Post-1Q24: More Pop to Estimates with Strong Underlying Momentum

Overweight

KO, KO US
Price (30 Apr 24):$61.77

▲**Price Target (Dec-24):$68.00**
Prior (Dec-24):$65.00

Beverage, Household & Personal Care Products

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We are updating our estimates for The Coca-Cola Company (KO, OW rated) following the company's 1Q24 earnings results (link to our first reaction note), conference call, and our follow-up group conversation with Robin Halpern, VP & Head of IR. KO's 1Q24 continued to demonstrate what made it one of our top picks for this year – strong underlying volume performance (ahead of peers) even before comparisons ease, consistent ability to earn price and navigate a dynamic consumer environment through RGM (even stripping out hyperinflation benefit), and likely upside to earnings estimates all while valuation remains undemanding both absolute and relative (21.6x NTM P/E vs. 2- and 5-year averages of 23.2x/23.7x and 4% premium to SPX vs. 2-/5-year avg. 25.3%/22.7%). We think investors broadly like KO in the medium/longer term but were more tactically rotating to PEP (N rated) ahead of the latter's earnings, particularly with a low bar and the expectation of a headline miss on volumes for KO (which played out, in our view, due to Street mismodeling timing impacts), although with 1Q24 cleared and likely more upside to KO estimates vs. PEP and KO apparently more sanguine on consumer environment vs. PEP, we believe KO should outperform from here. Net-net, we leave our FY24 and FY25 EPS unchanged at $2.82 and $3.01. Our Dec 2024 target price moves to $68 (from $65), moving to a 22.7x P/E multiple (two-year average vs. one-year average before) on our 2025E EPS.

- **KO Over-delivered on One of the Key Reasons We Like the Stock – Better Than Expected Unit Case Volume Performance with Easing Comparisons Ahead.** Volume growth is a key differentiator among Staples peers that, in our view, is a better measure of sustainability of OSG delivery, and KO's 1Q24 underlying volume performance (i.e., unit cases) came in ahead of expectations against the toughest comparison of the year. Unit case volume +1% was ahead of Street -0.3% on top of +3% in the prior year and would have looked even stronger accounting for -1 point headwind from the Middle East conflict. Impressively, in our view, North America volumes were flat (vs. PEP's PBNA volumes -5% and KDP's U.S. Refreshment Beverages volume/mix -1.3% – KDP also includes benefit from partner brands), and CEO Quincey noted that volume trends actually strengthened in February/March vs. a softer January. KO's unit case performance is also encouraging in light of puts/takes including headwinds in the quarter from China (tough lap on Chinese New Year) and India (although recovered by March). Looking ahead, comparisons on unit cases get easier on a YOY (i.e., lapping 2Q-4Q unit cases +1.3% vs. 1Q +3%) and multi-year basis (i.e., lapping 2Q-4Q unit cases 4Y CAGR of +1.7% vs. 1Q +2.4%), and some of the headwinds should also abate (i.e., Middle East conflict impact could stabilize and then lap by 4Q, lapping China softness in 2023, improving EMEA macro). We believe unit case volumes give a better indication of the underlying trajectory and pointed out in our preview (link) the likely dynamics between concentrate shipments and unit cases in 1Q (i.e., destocking and 1 less calendar day), so the disappointment on concentrate shipments (-2% vs. Street -0.4%) shouldn't have come as much of a surprise.

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2023A	2024E	2025E
Q1	0.68	0.72A	
Q2	0.78	0.82	
Q3	0.74	0.75	
Q4	0.49	0.53	
FY	2.69	2.82	3.01

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	83	82	84	84	89
Growth	64	21	65	64	78
Momentum	54	52	46	60	62
Quality	11	9	37	47	43
Low Vol	1	1	1	14	2
ESGQ	36	49	14	15	19

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	4.8%	1.0%	3.1%	-3.7%
Rel	-0.8%	5.1%	0.9%	-24.5%

Company Data

Shares O/S (mn)	4,321
52-week range ($)	64.69-51.55
Market cap ($ mn)	266,908.20
Exchange rate	1.00
Free float(%)	89.7%
3M - Avg daily vol (mn)	14.26
3M - Avg daily val ($ mn)	856.6
Volatility (90 Day)	12
Index	S&P 500
BBG BUY|HOLD|SELL	21|7|0

Key Metrics (FYE Dec)

$ in millions	FY23A	FY24E	FY25E
Financial Estimates			
Revenue	45,784	46,201	48,311
Adj. EBITDA	14,464	15,034	16,080
Adj. EBIT	13,336	13,915	14,815
Adj. net income	11,677	12,196	13,015
Adj. EPS	2.69	2.82	3.01
BBG EPS	2.68	2.81	3.00
Cashflow from operations	11,599	11,426	13,991
FCFF	9,747	9,223	11,684
Margins and Growth			
Revenue Growth Y/Y (%)	6.4%	0.9%	4.6%
Total Organic Sales Growth (%)	-	-	-
Gross margin	59.7%	61.2%	61.6%
EBITDA margin	31.6%	32.5%	33.3%
EBITDA Growth Y/Y (%)	6.3%	3.9%	7.0%
EBIT margin	29.1%	30.1%	30.7%
Net margin	25.5%	26.4%	26.9%
Adj. EPS growth	8.4%	4.9%	6.7%
Ratios			
Net debt/EBITDA	2.1	2.2	1.9
ROIC	-	-	-
ROE	46.7%	47.2%	47.3%
Valuation			
FCFF yield	3.6%	3.5%	4.4%
Dividend yield	3.0%	3.1%	3.2%
EV/Revenue	5.8	5.8	5.5
EV/EBITDA	18.3	17.8	16.5
Adj. P/E	23.0	21.9	20.5

Summary Investment Thesis and Valuation

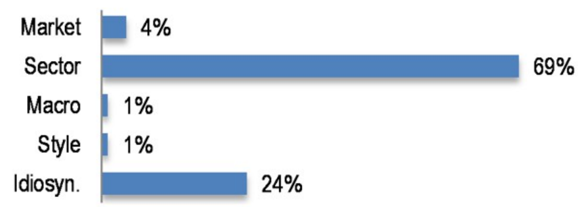
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening and is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2024 price target is $68, based on 22.7x P/E (two-year average multiple) on our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our $68 price target implies ~10% upside in the next approximately eight months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.10	0.21
Sect: Cons Staples	0.86	0.85
Ind: Food Bev & Tobacco	0.89	0.80
Macro:		
US 10yr yield	-0.16	-0.27
US Dollar	-0.24	-0.26
Non-Energy Commodity	0.16	0.24
Quant Styles:		
Growth	-0.50	-0.44
LowVol	0.25	0.36
Size	0.15	0.25

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Hyperinflation Drives Upside to OSG in 1Q and 2024 Guide, but Stripping Away Impact Would Still Leave KO at High End of LT Algo.** OSG of +11% (concentrate shipment basis) was driven by +13% price/mix, of which 6 points was driven by markets with "intense inflation" with mix another couple of points and the remaining regular-way pricing actions (per CFO Murphy commentary). As such, OSG ex-hyperinflation would have been around +5% or +8% normalizing for shipment timing. KO lifted its 2024 OSG outlook by 2 points to +8-9% (from +6-7%) with the company noting that it is underpinned by "operating performance at the high end of the company's long-term growth model [i.e., +5-6%] and the anticipated pricing impact of a number of markets experiencing intense inflation." That is, the company seems to be modeling c.3 points of hyperinflation impact for 2024. We expect the impact in 2Q24 to be roughly similar to 1Q24 (i.e., company guiding to same -6% FX impact in 2Q with 1Q FX driven almost entirely by markets with intense inflation), which we believe implies a significant moderation in inflation impact (all else equal) in 2H24 and particularly by 4Q24. Net-net, while we don't expect companies to get credit for higher OSG outlooks helped by hyperinflationary impacts, we're encouraged that KO seems well positioned to continue delivering at the high end of its LT algo (at least). Net-net, we now model for OSG of +9.1% (volume +1.7%, price/mix +7.4%) from our prior estimate of +7.0% (volume +1.7%, price/mix +5.3%).
- **Solid Margin Delivery, Expect Further Progression Given Bottler Refranchising.** Gross margins expanded +135 bps to 62.3% in 1Q24 and were ahead of the Street by about 120 bps. Underlying expansion accounted for 60 bps (price/mix partially offset by commodities) while FX was a -40 bps headwind and bottler refranchising was a 110 bps tailwind. Based on our conversations, roughly 40 bps of the 110 bps structural tailwind was due to easy comparisons from the year-ago period (impact from sugar inflation on Philippines in 1Q23), but we also note that this refranchising closed closer to the middle of the quarter, so looking ahead we expect continued mechanical benefit to gross margins (i.e., likely in the 140 bps range +/- for 2Q/3Q), although 4Q comparisons are a bit tougher (i.e., likely less than the 140 bps range). The company should continue to see underlying expansion from pricing, mix, and productivity more than offsetting moderating FX headwinds later in the year and ongoing inflation in certain commodities (e.g., sugar, juice). On the operating expense side the bottler costs come out of the base, but we expect continued develerage on advertising spend growing ahead of reported top line as the company reinvests behind the brand/momentum (e.g., we believe advertising was up +HSD%, or mid-teens local currency in 1Q). The hyperinflationary markets drive a headwind to EBIT margins, which we expect to continue (i.e., was around -50 bps headwind in 1Q), but overall we see strong margin expansion through the remainder of 2024.
- **Management Doesn't Seem Too Concerned on Low-End Consumer at This Point, Behavior Changes on the Margin, Although We Note North America Still +2% Mix Benefit in 1Q.** The state of the consumer continues to get a lot of attention this earnings season, and relative to PEP we sense less concern on the low-income consumer from KO management. CEO Quincey noted, "*The US consumer remains in good shape. There is some purchasing power compression in the lower income echelons. And I think it's quite clear that there's some behavioral shift there looking for value. I think that has led to a marginal channel weighting or shift, if you like, with slightly more at-home volume versus away-from-home. I would emphasize this is at the periphery rather than a big shift, but, at the margin, slightly more value seeking, slightly more at-home, slightly less away-from-home*." We sensed more

caution from PEP CEO Laguarta, "*The lower income consumer in the US is stretched, is making a lot of a – is strategizing a lot to make their budgets get to the end of the month. And that's a consumer that is choosing what to buy, where to buy, and making a lot of choices. That's a consumer that we are emphasizing in our commercial programs. I think we're learning how best to keep that consumer in our categories at the frequency that we want that consumer, and we are pivoting our commercial plans, our innovation, giving that consumer the right innovation, the right value in different parts of the month through different channels, digital and physical, making sure that the ROIs on the investments are the best ROIs*."

- **Updated 2024 Guidance – Lifted OSG and FX Headwind – Comparable EPS Outlook Unchanged.** KO is now guiding to 2024 OSG +8-9% (vs. +6-7% previously) but continues to expect comparable EPS growth of +4-5%, or about $2.80-2.82. The top-line outlook includes a -4% to -5% headwind from FX (vs. -2% to -3% before) and a -4% to -5% headwind from structural changes (unchanged). The EPS outlook includes a -7% to -8% headwind from FX (vs. -4% to -5% before) and a -2% headwind from structural changes (unchanged). The company continues to expect 2024 FCF of about $9.2B based on $11.4B cash flow from operations and $2.2B capital expenditures. The company now expects an effective tax rate of 19.0% (from 19.2% before). For 2Q24, the company is expecting FX to ba a -6% headwind to the top line and -8% to -9% headwind to EPS and for structural changes to be a -5% to -6% headwind to the top line and -2% headwind to EPS.
- **1Q24 Recap.** KO reported 1Q24 adjusted EPS of $0.72, which exceeded JPMe/consensus $0.70/$0.70. Upside vs. our estimates was driven by stronger sales (+$0.02 vs. JPMe) and gross margin (+$0.02 vs. JPMe), which more than offset higher SG&A spending (-$0.01 vs. JPMe). OSG of +11% (concentrate shipment basis) came in well ahead of JPMe/Consensus Metrix (CM) +4.9%/+6.4% or +14% on a unit case volume basis vs. JPMe/CM +7.0%/+7.1%. OSG was driven by +13% price/mix (vs. JPMe/CM +7.8%/+6.8%) and -2% concentrate shipments (vs. JPMe/CM -2.9%/-0.4%) due to the timing of shipments and the impact of one less selling day in the quarter. More importantly, unit case volumes (better management of demand) grew 1% (beating JPMe/CM -0.8%/+0.3%), driven by growth in Brazil, the Philippines and Nigeria. We note that KO disclosed that about six points out of the 13% price/mix expansion were "driven by pricing from markets experience intense inflation." Gross margin of 62.3% expanded +135 bps YOY and positively surprised by +90/+120 bps ahead of JPMe/consensus 61.4%/61.1%. Operating expense ratio of 29.8% was 74 bps unfavorable YOY and compared to JPMe/consensus 29.4%/29.1%.

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Investment Thesis, Valuation and Risks

Coca-Cola *(Overweight; Price Target: $68.00)*

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening, and it is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2024 price target is $68, based on 22.7x P/E (two-year average multiple) on our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our $68 price target implies ~10% upside in the next approximately eight months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) negative resolution in the tax dispute with the IRS (not contemplated in our model); (2) the uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) further margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements—all of which could drive further negative earnings revisions.

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Coca-Cola: Summary of Financials

Income Statement - Annual	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue	**43,046**	**45,784**	**46,201**	**48,311**	**-**
COGS	(17,817)	(18,465)	(17,917)	(18,559)	-
Gross profit	**25,229**	**27,319**	**28,284**	**29,752**	**-**
SG&A	(12,884)	(13,983)	(14,369)	(14,937)	-
Adj. EBITDA	**13,605**	**14,464**	**15,034**	**16,080**	**-**
D&A	(1,260)	(1,128)	(1,119)	(1,265)	-
Adj. EBIT	**12,345**	**13,336**	**13,915**	**14,815**	**-**
Net Interest	(457)	(645)	(747)	(934)	-
Adj. PBT	**13,377**	**14,403**	**15,029**	**16,015**	**-**
Tax	(2,545)	(2,737)	(2,857)	(3,045)	-
Minority Interest	(29)	11	24	44	-
Adj. Net Income	**10,803**	**11,677**	**12,196**	**13,015**	**-**
Reported EPS	2.48	2.69	2.82	3.01	-
Adj. EPS	**2.48**	**2.69**	**2.82**	**3.01**	**-**
DPS	**1.75**	**1.83**	**1.90**	**1.99**	**-**
Payout ratio	70.5%	68.1%	67.4%	66.2%	-
Shares outstanding	4,351	4,339	4,322	4,322	-

Income Statement - Quarterly	1Q24A	2Q24E	3Q24E	4Q24E
Revenue	**11,231A**	**12,032**	**11,810**	**11,128**
COGS	(4,237)A	(4,693)	(4,466)	(4,520)
Gross profit	**6,994A**	**7,339**	**7,344**	**6,607**
SG&A	(3,351)A	(3,419)	(3,703)	(3,896)
Adj. EBITDA	**3,905A**	**4,190**	**3,928**	**3,011**
D&A	(262)A	(270)	(287)	(300)
Adj. EBIT	**3,643A**	**3,920**	**3,641**	**2,712**
Net Interest	(142)A	(133)	(223)	(249)
Adj. PBT	**3,861A**	**4,358**	**3,994**	**2,817**
Tax	(734)A	(828)	(759)	(535)
Minority Interest	(8)A	31	9	(8)
Adj. Net Income	**3,119A**	**3,561**	**3,243**	**2,273**
Reported EPS	0.72A	0.82	0.75	0.53
Adj. EPS	**0.72A**	**0.82**	**0.75**	**0.53**
DPS	**0.02A**	**0.47**	**0.47**	**0.94**
Payout ratio	3.2%A	57.1%	62.6%	178.7%
Shares outstanding	4,322A	4,322	4,322	4,322

Balance Sheet & Cash Flow Statement	FY22A	FY23A	FY24E	FY25E	FY26E
Cash and cash equivalents	9,519	9,366	8,835	7,176	-
Accounts receivable	3,487	3,410	3,466	3,766	-
Inventories	4,233	4,424	4,232	4,472	-
Other current assets	5,352	9,532	9,372	9,552	-
Current assets	**22,591**	**26,732**	**25,905**	**24,966**	**-**
PP&E	9,841	9,236	10,282	11,324	-
LT investments	501	118	147	147	-
Other non current assets	59,830	61,617	66,477	66,477	-
Total assets	**92,763**	**97,703**	**102,811**	**102,914**	**-**
Short term borrowings	2,373	4,557	6,054	6,054	-
Payables	15,749	15,485	19,470	20,335	-
Other short term liabilities	1,602	3,529	2,987	2,554	-
Current liabilities	**19,724**	**23,571**	**28,511**	**28,942**	**-**
Long-term debt	36,377	35,547	39,104	35,104	-
Other long term liabilities	10,836	11,105	7,986	7,986	-
Total liabilities	**66,937**	**70,223**	**75,601**	**72,032**	**-**
Shareholders' equity	24,105	25,941	25,693	29,365	-
Minority interests	1,721	1,539	1,517	1,517	-
Total liabilities & equity	**92,763**	**97,703**	**102,811**	**102,914**	**-**
BVPS	**5.54**	**5.98**	**5.94**	**6.79**	**-**
y/y Growth	*4.5%*	*7.9%*	*(0.6%)*	*14.3%*	-
Net debt/(cash)	28,587	29,701	32,955	30,614	-
Cash flow from operating activities	**11,018**	**11,599**	**11,426**	**13,991**	**-**
o/w Depreciation & amortization	1,260	1,128	1,119	1,265	-
o/w Changes in working capital	(605)	(846)	(851)	145	-
Cash flow from investing activities	**(763)**	**(3,349)**	**(1,503)**	**(2,307)**	**-**
o/w Capital expenditure	(1,484)	(1,852)	(2,203)	(2,307)	-
as % of sales	*3.4%*	*4.0%*	*4.8%*	*4.8%*	-
Cash flow from financing activities	**(10,250)**	**(8,310)**	**(10,267)**	**(13,343)**	**-**
o/w Dividends paid	(7,616)	(7,952)	(8,224)	(8,613)	-
o/w Net debt issued/(repaid)	(958)	1,857	4,919	(4,000)	-
Net change in cash	**(200)**	**(133)**	**(482)**	**(1,659)**	**-**
Adj. Free cash flow to firm	**9,534**	**9,747**	**9,223**	**11,684**	**-**
y/y Growth	*(15.3%)*	*2.2%*	*(5.4%)*	*26.7%*	-

Ratio Analysis	FY22A	FY23A	FY24E	FY25E	FY26E
Gross margin	58.6%	59.7%	61.2%	61.6%	-
EBITDA margin	31.6%	31.6%	32.5%	33.3%	-
EBIT margin	28.7%	29.1%	30.1%	30.7%	-
Net profit margin	25.1%	25.5%	26.4%	26.9%	-
ROE	45.9%	46.7%	47.2%	47.3%	-
ROA	11.5%	12.3%	12.2%	12.7%	-
ROCE	15.7%	16.8%	16.5%	17.0%	-
SG&A/Sales	29.9%	30.5%	31.1%	30.9%	-
Net debt/equity	1.1	1.1	1.2	1.0	-
P/E (x)	24.9	23.0	21.9	20.5	-
P/BV (x)	11.1	10.3	10.4	9.1	-
EV/EBITDA (x)	19.5	18.3	17.8	16.5	-
Dividend Yield	2.8%	3.0%	3.1%	3.2%	-
Sales/Assets (x)	0.5	0.5	0.5	0.5	-
Interest cover (x)	29.8	22.4	20.1	17.2	-
Operating leverage	98.0%	126.2%	477.0%	141.6%	-
Revenue y/y Growth	11.4%	6.4%	0.9%	4.6%	-
EBITDA y/y Growth	8.3%	6.3%	3.9%	7.0%	-
Tax rate	19.0%	19.0%	19.0%	19.0%	-
Adj. Net Income y/y Growth	7.1%	8.1%	4.4%	6.7%	-
EPS y/y Growth	6.8%	8.4%	4.9%	6.7%	-
DPS y/y Growth	4.8%	4.7%	3.8%	4.7%	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Coca-Cola (KO, KO US) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
21-Jul-21	N	55.83	59
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65

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